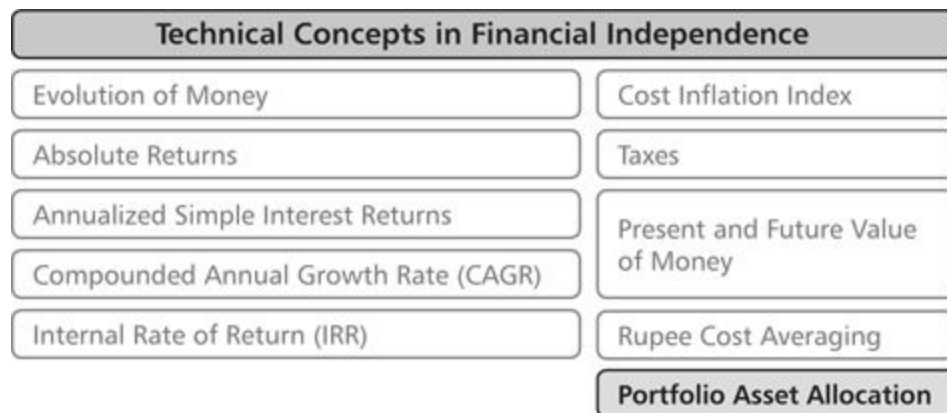


of SIPs in Mutual funds. SIPs are "the route" to take for new investors, till they become comfortable and confident to deal with stocks directly.

Remember that in any case, your long-term target when investing in equities should never be just the capital gains from the stock but a continuous positive cash flow. This will be dealt with in detail in the next sections.

A combination of capital gains in the long run and positive cash flow during regular intervals (even during the downside) is what has the potential to make you truly wealthy.

Let us now look at what a portfolio means and what a portfolio asset allocation is.



## Portfolio Asset Allocation

Before we move to portfolio<sup>25</sup> asset allocation, we must understand what an asset class is and what kind of various asset classes exist in the market today.

An asset class is defined as a group of assets or securities that exhibit similar characteristics, behave similarly in the marketplace, and are subject to the same laws and regulations. Asset classes and asset class categories are often mixed up. In other words, describing large-cap stocks or short-term bonds as asset classes is incorrect. These investment vehicles are asset class categories, and are used for diversification purposes.